



THE LAST KODAK MOMENT?

AN ONGOING BATTLE TO SURVIVE...

1

Yariv Taran, PhD
IKE Research Group
Aalborg University Business School
yariv@business.aau.dk

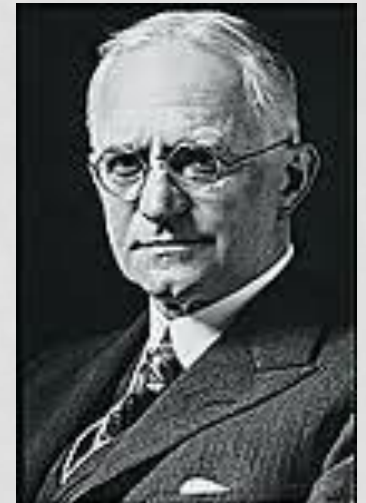
AGENDA

- The following presentation is a description of **Kodak's** case challenges.
 - Starting with a company timeline (short history).
 - Followed by case analysis.
 - Cross comparison with Fujifilm company.
 - (Initial) Lessons to be learned...

• All images in this presentation were taken from "Google images".

“ONCE UPON A TIME..”

- Kodak was founded by George Eastman in 1884.
- Its core business at the time was selling inexpensive cameras, and making large margins from consumables e.g., film, chemicals, and paper.
- **New (disruptive) technology-** Their value proposition (at the time), and through that, their business model, was truly unique.



George Eastman: 1854 – 1932 3

REPLACING THE PHOTOGRAPHIC GLASS PLATES WITH FILMS.

From  to



(c) Westlicht Auction



KODAK WAS THE "GOOGLE" OF ITS DAY.

- It was known for its pioneering technology and innovative marketing. "You press the button, we do the rest".
- By 1976 Kodak accounted for **90%** of film and **85%** of camera sales in America.
- Until the 1990s it was regularly rated **one of the world's five most valuable brands**.
- Approx. **140,000** employees at its peak (late 80's).



"..Life is GOOOOOD!!"

COMPETITION

- Rivalry from Japanese competitor **Fujifilm** entered the U.S. market (in the late '80s) with lower price film.
- Kodak's market share plunged from **90%** of film sales and 85% of camera sales in the U.S. (in 1976) to **74.7%** in the United States (in 1997).
- Kodak made little effort in entering the Japanese market (the second-largest market for photo film and paper after the United States).

THE RISE OF THE DIGITAL AGE

- Kodak was the **first company** to develop a digital camera going back to 1975.

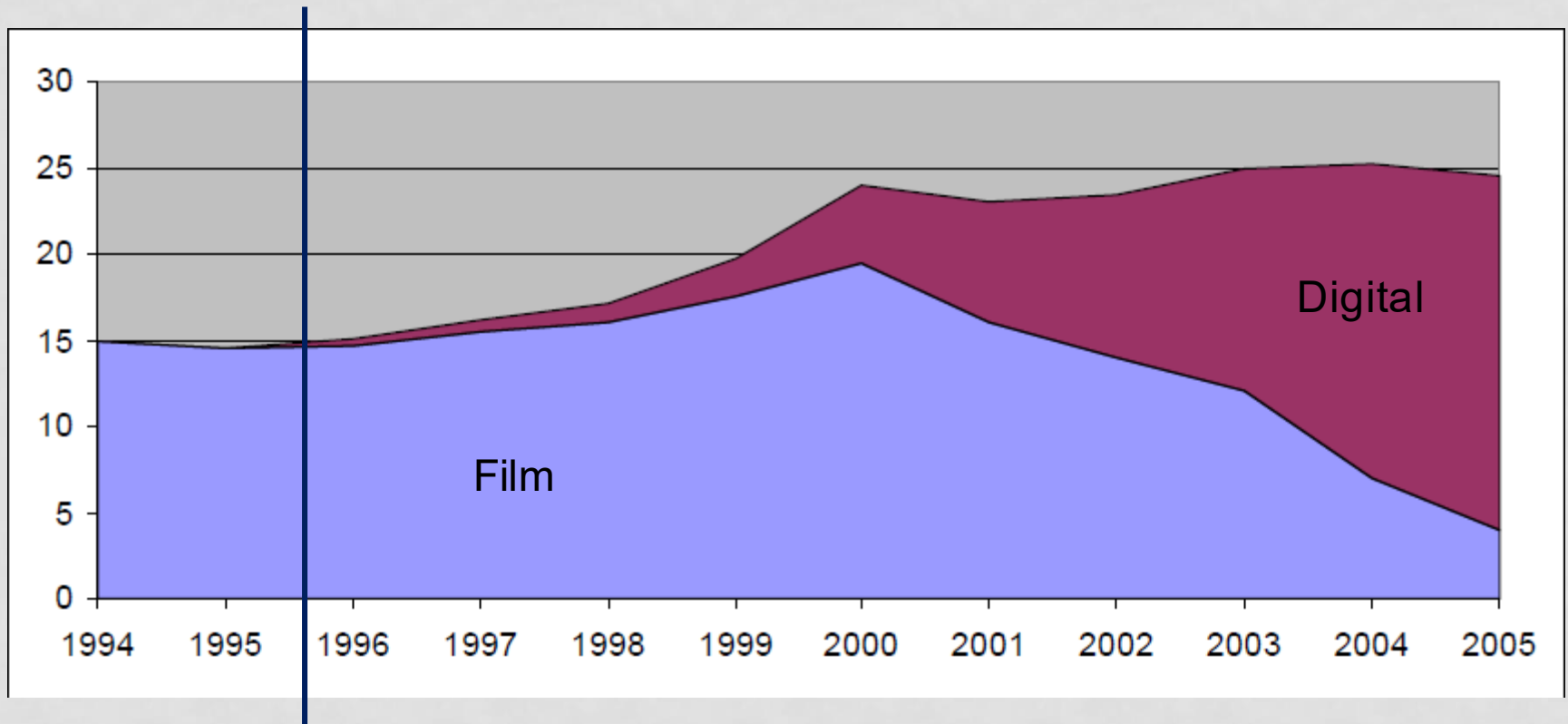


THE DIGITAL AGE

- The product **was dropped** for fear it would threaten Kodak's photographic film business.
- During the 1990s, Kodak planned a decade-long journey to move to digital technology – but with **little effort to truly exploit it.**



MID 90'S - TOO MANY UNCERTAINTIES...



Number of film and digital cameras sold in the United States

THE NEXT INDUSTRIAL SHIFT: DIGITAL PHOTOGRAPHY REPLACED FILM (EARLY 2000'S)

- Once consumers gradually shifted into digital offerings (**from mostly Kodak competitors** e.g., Sony), Kodak was still hoping to slow down the shift through aggressive marketing.
- Still, **they prepare themselves** for that shift, and released a wide range of digital-based products e.g., 1) digital cameras; 2) sharing photos via PCs; 3) a printer dock - where consumers could insert their cameras into this compact device, press a button, and watch their photos roll out.
- By 2005, **Kodak ranked No. 1** in the U.S. in digital camera sales which surged in **40%** to \$5.7 billion.
- ...btw, The film-based business fell 18% and **became a rapidly declining business**, but "still in business", at that time (mid-2000's).

2005 - NEW CEO AND STRATEGY!!



- On May 19th, 2005 Antonio Pérez was named CEO of Kodak after the retirement of Daniel Carp.
- Kodak then began a strategy shift. Perez began **investing heavily in digital technologies** and new services that capitalized on its technology innovation to boost profit margins.
- **Shutting down film factories and eliminating 27,000 jobs** as he outsourced its manufacturing.
- In one of his first executives' meetings, he summoned his top executives to a historical meeting and said: ***“You have to burn the boats”***.

THE NEXT INDUSTRIAL TURBULENCE: CAMERAS REPLACED BY SMARTPHONES, AND TABLETS



DIFFICULTIES IN ADAPTING TO THAT INDUSTRIAL CHANGE

- By 2010 Kodak held **only a 7 percent** share of the U.S. market in digital camera sales, **behind** Canon, Sony, Nikon, and others. – and the film business was no longer there.
- In 2011, despite the turnaround progress, Kodak rapidly used up its cash reserves, stoking fears of bankruptcy.
- In 2011, Kodak reportedly explored **selling off (or licensing)** its vast **portfolio of patents** in order to stave off bankruptcy.

...AND IT KEEPS ON DECLINING

An ugly picture

Kodak's:

share price, \$

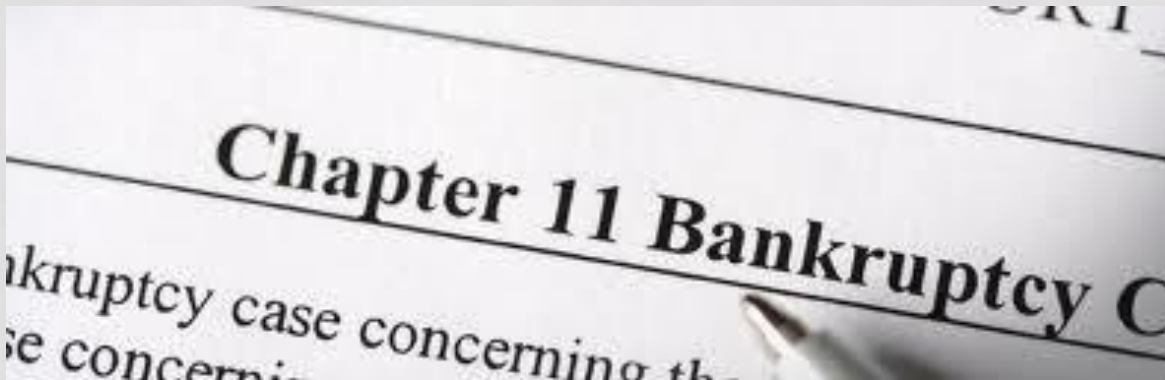
employees, '000



Sources: Company reports; Thomson Reuters

IS THIS IT???

- On **January 19th, 2012**, Kodak filed for Chapter 11 bankruptcy protection and obtained a \$950 million, 18-month credit facility from Citigroup to enable it to continue operations. Under the terms of its bankruptcy protection, Kodak currently had a deadline of February 15th, 2013 (prolonged to May 2013) to **produce a reorganization plan**.



THE END OF (YET ANOTHER) ERA: THIS TIME THE CAMERA BUSINESS AS A WHOLE!!

- As part of the reorganization process, Kodak Chief Executive Perez dumped on digital cameras, calling them a "*crappy business*".
- On February 9th, 2012, Kodak announced that it will **stop making digital cameras**, pocket video cameras, and digital picture frames, as its main core business.
- A move that will **mark the end of an era for the 132-year-old company**.

THE REORGANIZATION PLAN

(OF THEIR BUSINESS MODEL)

- The company's main focus is on **commercial, packaging, and functional printing solutions and enterprise services**.
- The company has decided to **initiate sales processes** for:
 - Its market-leading Personalized Imaging businesses (i.e., retailers and photofinishing; professional photographers & labs; event imaging).
 - Document Imaging businesses (i.e., document & picture scanners and solutions; software and services).
- Kodak believes that the **sale of these assets** (e.g., to Apple and Google), as well as continued **cost-cutting initiatives**, curtailment (decrease) of its legacy liabilities, and the **monetization of the company's digital imaging patent portfolio**, will be significant milestones toward completing the company's reorganization and emergence from Chapter 11 during 2013.

SO, WHAT'S NEXT (2013-2015)?

- From a camera business to a printing packaging and imaging business!!

•Packaging

Driving impact and efficiency from concept to consumer.



OTHER LINES OF BUSINESSES OPERATIONS:

- Aerial & Industrial [surveillance) Markets.



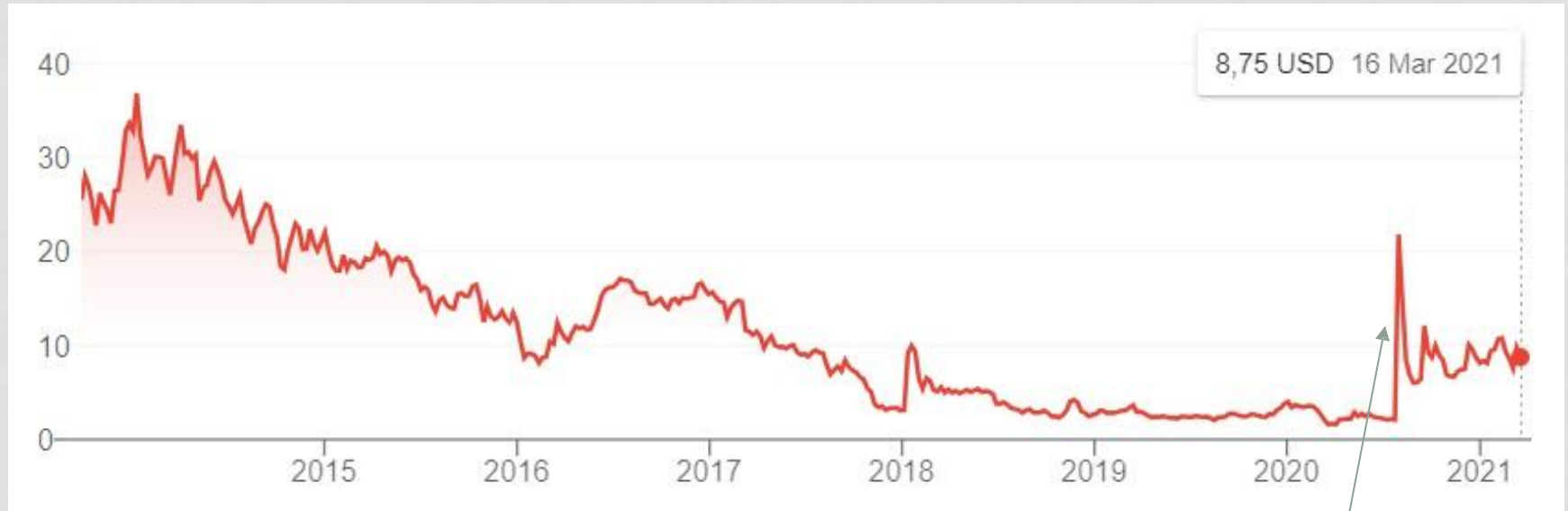
- Entertainment and motion pictures.



- Touch Screen Sensors



..STILL STRUGGLING



Trump Administration Loan Kodak \$765M To Make Drug (Covid 19)...

...AND WHAT'S NEXT??

TO BE CONTINUED...



OK, LET'S TRY TO ANALYZE
WHAT HAPPENED!!

CASE ANALYSIS (1)

Reasons behind Kodak's fall

(Invention vs. Innovation issues.. and cannibalization fears..)

- What started as a monopoly and a "billion-dollar business", was disrupted by the creation of a new (digital) technology – **invented** by the company itself!!, but **innovated** much.. MUCH.. later.
- The inventor company **didn't want to be** the first mover, given that it will cannibalize its own core business.
- **Kodak was fast in inventing but slow in exploiting its inventions (i.e., slow in innovating).**

CASE ANALYSIS (2)

Reasons behind Kodak's fall

(Competition issues, and over confidence in their brand)

- **Rivalry** from Japanese competitor Fujifilm entered the U.S. market (in the late 80's) with lower price film. Kodak did very little to try and compete with them, assuming that the Kodak brand will win any competitor.
- As more companies entered the market in the mid-2000s, these digital cameras rapidly became **commodities**, with low profit margins.
- **Kodak underestimated its rivals: Global, and domestic.**
- **Kodak underestimated the lifecycle span of their new products.**

CASE ANALYSIS (3)

Reasons behind Kodak's fall

(Strategy-related issues)

- Kodak also **failed to read emerging markets correctly**. It hoped that the new Chinese middle class would buy lots of films, but they went digital, almost as fast as anyone else.
- Kodak's leadership has been **unclear about the right path** to go through. Its strategy changed on a frequent basis.
- **Kodak's corporate strategy was reactive in nature, followed by many “leap-frogged” choices.**

CASE ANALYSIS (4)

Reasons behind Kodak's fall

([industrial] “creative destruction” & [lack of] flexibility issues)

- The company faced **two disruptive transitions** in its industry:
 - The **replacement of film with digital**, which they were preparing themselves for.
 - Digital as a **commodity**, and the shift in customer demand **from cameras to smartphones, and tablets** – came as a complete surprise how fast the cameras became a “bloody”, and “crappy” industry to compete in.
- **Kodak was incapable to react to such rapid changes within its industry.**
- **An (almost) century of monopoly has its consequences...**
 - Slow to react to industrial changes.
 - Slow to react to changes in customer demands, and
 - Inability to compete in a “red ocean”.
 - More?

CASE ANALYSIS (5)

Reasons behind Kodak's fall

(Business model issues)

- **The key:** product innovation, something Kodak knew how to do oh-so-well. The company designed one award-winning breakthrough after another to make digital photography nearly as simple as pointing and clicking. **But business model innovation??** Well, that's a different story...
- The rapid changes in that industry (particularly from early 2000) made it impossible for Kodak to cope. **Kodak was slow in fitting its strategy and (through that) its business model to the rapid technological changes; diverse consumer demands; and (density of) its industrial level of competition.**
-
- Kodak aimed to be a digital company. But that is a small business, and not enough to support a big company. - **Failed to diversify enough.**
- **Business models have to change over time to keep pace with industrial shifts, and (changing) consumer demands.**
- ***“...competition today is not between products, it's between business models.” (Hamel & Sampler, Fortune Magazine, December 7, 1998).***

CASE ANALYSIS (6)

Reasons behind Kodak's fall

(Time to market, centralization, wrong investments, and external hazard issues)

- Additionally, its executives “suffered from a **mentality of perfect products**, rather than the high-tech mindset of **make it, launch it, fix it**”.
- “**Working in a one-company town did not help, either.** Kodak's bosses in Rochester seldom heard much criticism of the firm. Even when Kodak decided to diversify, it took years to make its first acquisition”. (Rosabeth Moss Kanter of Harvard Business School).
- Bad luck played a role, too.
 - Kodak thought that the thousands of chemicals its researchers had created for use in films might instead be turned into drugs. But its pharmaceutical operations fizzled and were sold in the 1990s.
 - a difficult global recession.

COULD THIS BE ANY DIFFERENT?

- Perhaps the challenge was simply too great.

*“It is a very hard problem. I've not seen any other firm that had such a massive gulf to get across. ...It was such a fundamentally different technology that came in, so **there was no way** to use the old technology to meet the challenge. ...It was more like seeing a tsunami coming and there's nothing you can do about it”.*

Clayton Christensen



KODAK VS. FUJIFILM:

“WHERE THERE'S A WILL - THERE'S A WAY..”

- The two firms have much in common. **Both enjoyed in their past lucrative near-monopolies of their home markets:** Kodak selling film in America, Fujifilm in Japan.
- Both firms saw their traditional business rendered obsolete. But whereas Kodak has so far failed to adapt adequately, Fujifilm has transformed itself into a solidly profitable business. **both firms had to adapt; Kodak was slower.**
- Fujifilm, too, saw signs of digital doom as early as the 1980s. **It developed a three-pronged strategy:** to squeeze as much money out of the film business as possible, to prepare for the switch to digital, and to develop new business [model] lines.

KODAK VS. FUJIFILM:

Fujifilm diversified more successfully:

- [e.g.] a decision **in 2000** to spend around **\$1.6 billion** for an additional 25% stake in **FujiXerox** (e.g. printers & document management software), the firm's **joint venture** with Xerox, when the struggling American firm was in need of cash. This allowed Fujifilm to control the joint venture's strategy and consolidate its hefty earnings. When the film began its swift decline, the company had a cushion of earnings.
- [e.g.] Film is a bit like skin: both contain collagen. “Just as photos fade because of oxidation, cosmetics firms would like you to think that skin is preserved with **anti-oxidants**”. In Fujifilm's library of 200,000 chemical compounds, some 4,000 are related to anti-oxidants. So, the company launched a line of cosmetics, called **Astalift**, which is very successful in Asia and partly in Europe.

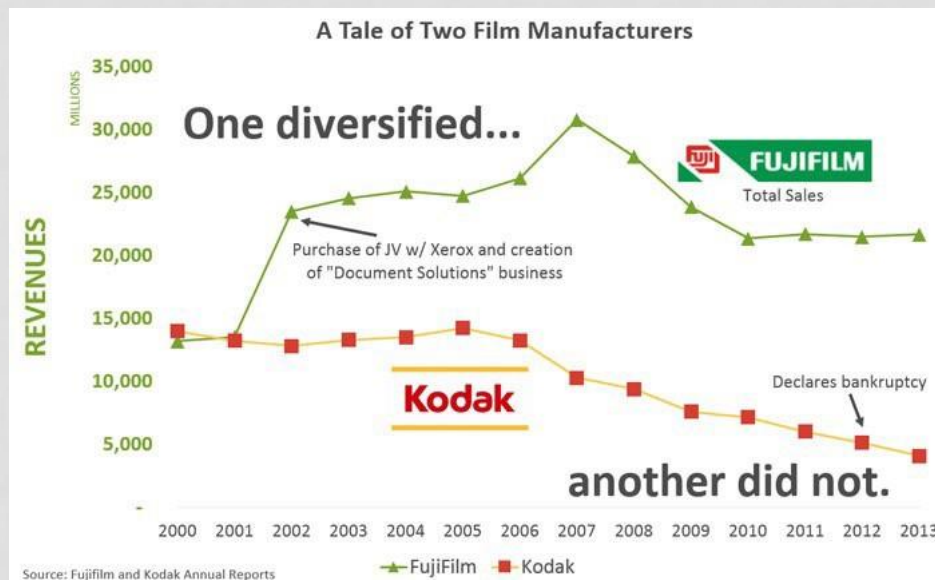
KODAK VS. FUJIFILM:

- *“Astalift is a registered trademark of Fujifilm Corporation. ...Fujifilm has built up a wealth of advanced technologies in the field of photo imaging and in line with its ambitions to become a comprehensive **Beauty and Health company**, Fujifilm is now applying these technologies to the prevention, diagnosis, and treatment in the **Medical and Life Science fields**”.*



KODAK VS. FUJIFILM:

- Fujifilm also sought new outlets for its expertise in film: for example, making **optical films for LCD flat-panel screens**. It has **invested \$4 billion in the business since 2000**. And this has paid off. In one sort of film, to expand the LCD viewing angle, Fujifilm **enjoyed a 100% market share**.



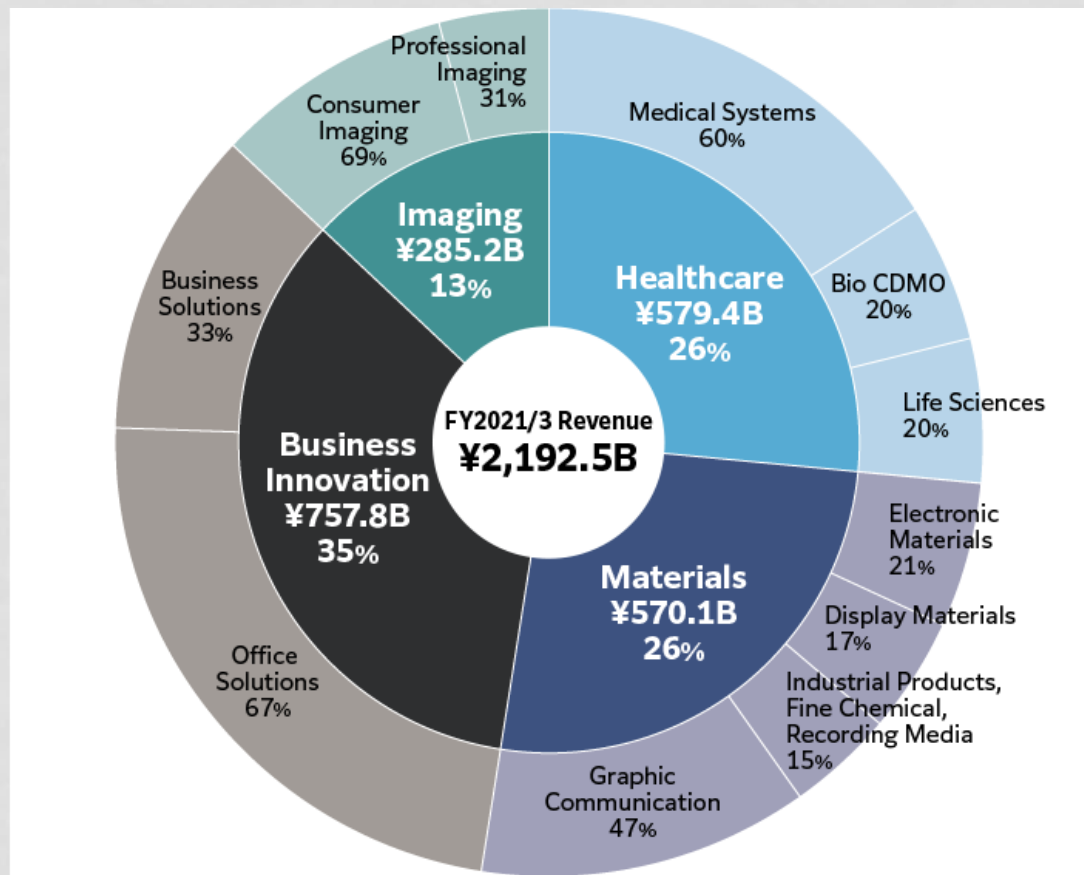
KODAK VS. FUJIFILM:

- Fujifilm other (core) businesses



BUSINESS FIELDS OF FUJIFILM GROUP

2021



KODAK VS. FUJIFILM:

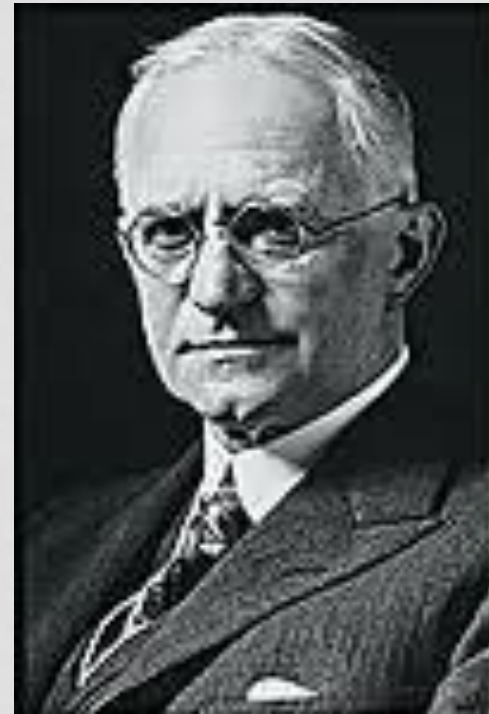
- **Also, Fujifilm prepared itself better for the transition:** Shigetaka Komori spent around \$9 billion on 40 companies since 2000. He slashed costs and jobs. In one 18-month stretch, he booked more than ¥250 billion (\$3.3 billion) in restructuring costs for depreciation and to shed superfluous distributors, development labs, managers, and researchers. *“It was a painful experience,”* says Mr. Komori. *“But to see the situation as it was, nobody could survive. So, we had to reconstruct the business model.”*
- *“Kodak's monopoly was the problem ... It always believed it had a ..given right to 100% of the market,”* he says. *“It never bothered to look over its shoulder at what was coming up from behind.”* Instead, *Kodak relied on its brand.”* Mr. Komori.



KODAK VS. FUJIFILM:

- Fujifilm has mastered new tactics and survived. The film went from 60% of its profits in 2000 to basically nothing, **yet it found new sources of revenue.**
- **Surprisingly, Kodak acted like a stereotypical change-resistant Japanese firm, while Fujifilm acted like a flexible American one.**

- *"The world is moving, and a company that contents itself with present accomplishments soon falls behind."* George Eastman



George Eastman: 1854 – 1932

Thank you!

Entrepreneurship perspectives:

- How to plan for the unforeseen? 
- The role of creativity in coping with these matters, including e.g. how Kodak and FujiFilm should diversify.
- - Creativity useful in all phases of development of a firm, not just in the initial ideation phase.
 - Creativity can be trained and organizational structures can be geared to enhance creativity
 - Creativity can perhaps make the organization more agile and resilient to unforeseen events. But creativity needs to be managed!!



Cont... Entrepreneurship perspectives:

- Value of business planning (and the approaches to it – causal logic vs effectual)
 - BP and business planning not only for start-up projects, also for all other projects in the organization.
 - When diversifying into new business areas, full-fledged BP can be relevant.





Cont... Entrepreneurship perspectives:

- What characterize the 100-year old firms that keep surviving?
- Many are adaptive, and have created dynamic capabilities.
 - Nokia used to be in the forestry sector, at one stage produced rubber boots, ended up producing mobile phones, then turned to switches.

- Schumpeter – intrapreneurship = entrepreneurs are carriers of the entrepreneurship processes, but these might be internally in large companies, not necessarily in start-ups. Intrapreneurs creating new business opportunities?
- He also mentions creative destruction (innovation disrupting existing routines and/or products leading to a more effective economy), but in this case it is a question if it is creative? For the individual firm, not, for the industry – yes?



Innovation perspectives

- Competitiveness is not derived from invention alone. Innovation requires the implementation and commercial application of a new or significantly improved product, process, or organizational method
- On a societal level, innovation is the main engine of economic development.
- At the firm level, innovation is important for growth and survival, but there is also technology changes (s-curves) and different types of innovation
- Innovation is not a linear process; it is characterized by high uncertainty and complexity. It requires continuous, interactive problem-solving, feedback loops, and the recombination of different knowledge types
- A firm's innovative competitiveness relies heavily on its absorptive capacity i.e. the ability to recognize, assimilate, transform, and exploit external knowledge and technologies.



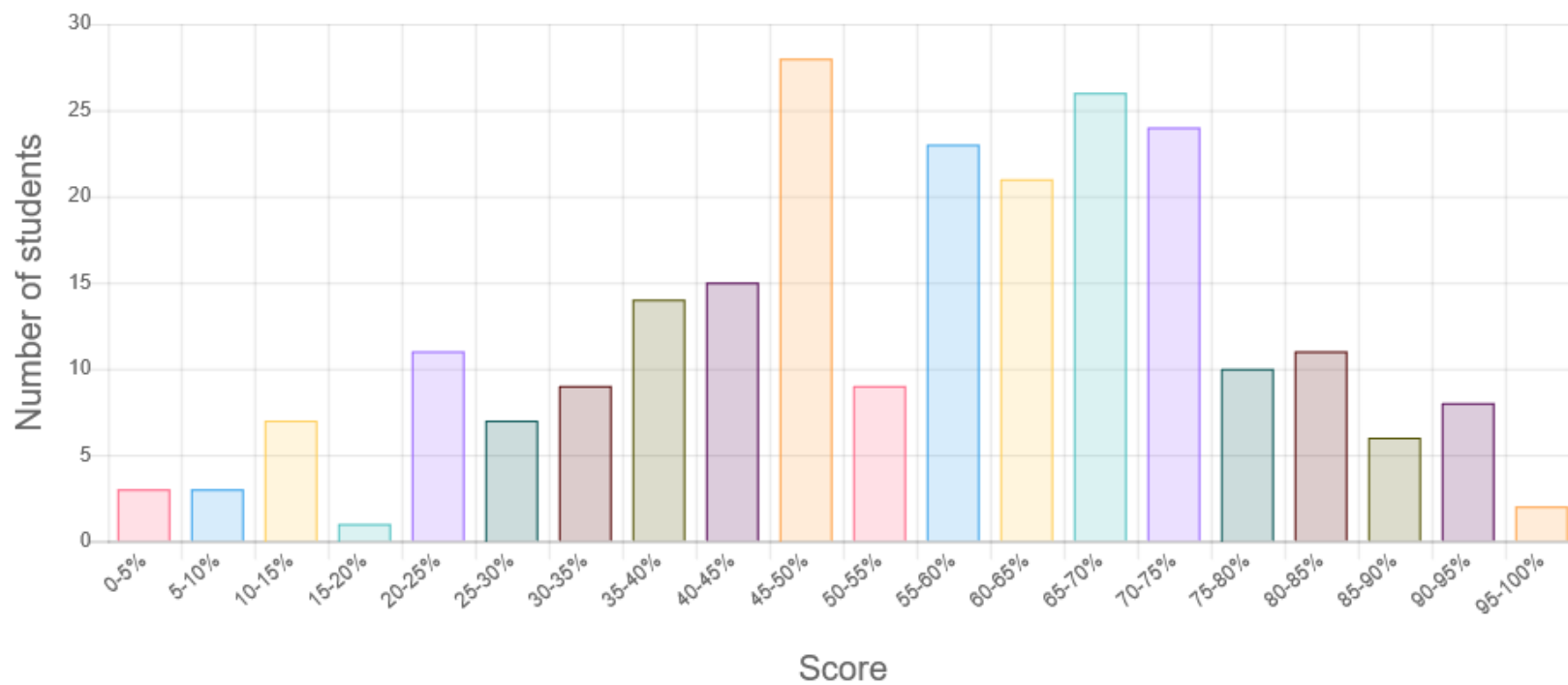
Innovation perspectives

- To remain competitive, established firms must balance the exploitation of existing capabilities with the exploration of new opportunities.
- Listening too closely to current, highly profitable customers can kill a great company. Incumbents often get paralyzed by disruptive innovations that start as "inferior" low-end products but eventually take over the market
- Innovation only generates growth if it diffuses through a social system. Customers don't adopt technology just because it's new. Commercial success is dependent upon fx. the innovation's perceived relative advantage, compatibility, and low complexity (Rogers' diffusion theory), as well as the user's perceived usefulness and ease of use (Technology Acceptance Model).
- Competitiveness requires an appropriation strategy. Firms must actively use patents, trademarks, copyrights, and/or strategic secrecy (causal ambiguity) to protect their competitive advantage from imitation.



- 
- **The general rules for digital exam applies as previously sent out.**
 - **Allowed materials:**
 - All course material. The course material is the material provided on Moodle, that is, the course book, slides and additional papers.
 - **For a start / Technically: The system is intuitive, but for your help:**
 - Note that you can begin by getting an overview of all questions by clicking the 'Next' button.
 - You can navigate between questions by clicking the 'Number' tab in the lower left-hand corner of the screen.
 - The numbers between the page indication and 'Submit' indicate the question number out of the total.
 - Be careful not to 'remove all answers' (unless you really want to).
 - **How to answer questions:**
 - Each question has a minimum of three options.
 - There is at least one correct answer within each question, and there can be more.
 - No question has all options correct, and no question has none of the options correct.
 - Within each question, each option counts for points, with some questions being easy, some more difficult, and some fundamental to the understanding of the curriculum. Therefore, they score differently. In some cases, some options are very wrong, resulting in a deduction of one point. This means that you should consider leaving options blank if you have no clue about the answer, rather than randomly selecting options.
 - The point scale is -1, 0, +1 for all questions.

Student score graph



The exam

- How to prepare for the exam:
 - Almost like an ordinary exam
 - Familiarise yourself with the curriculum
 - Not only slides
 - Makes it easier to find the content for the exam
 - Pay attention to vocabulary, concepts, and key definitions
 - Don't wait studying until the last day before the exam
- Exam strategies:
 - Read the exam format explanation
 - Read the questions carefully
 - Try answering the question before looking at the answer choices to avoid bias
 - Rule out wrong answers
 - Manage your time

